

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02314

Report ID:	AR-02314
Audit Type:	Financial Transaction Audit
Report Date:	April 23, 2023
Audit Period:	2022-11-05 to 2023-04-22
Lead Auditor:	Jason Burns (EMP-4827)
Reviewed By:	Steven Bautista (EMP-23908)
Primary Vendor Reference:	RapidCore Consulting (VND-04556)
Subject Employee Reference:	Melinda Marshall (EMP-9678)
Primary Transaction Reference:	TXN-176694
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2022-11-05 to 2023-04-22 and examined transactions, approvals, and compliance records associated with vendor RapidCore Consulting (VND-04556) and employee Melinda Marshall (EMP-9678). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-176694 (amount 6,883.95 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-002022	MEDIUM	VENDOR RISK	BLACKLISTED vendor VND-VND-02716 received payment of \$73,638 via contract CON-102652 that was not updated following blacklisting.

Finding ID	Severity	Category	Description
FND-001711	MEDIUM	FRAUD PATTERN	Transaction routed through 3 intermediate accounts before reaching final beneficiary. Unusual for CASH_OUT transaction type.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-002022	APPROVAL RECORD	EVD-ANA-9120	0.69
EVI-002675	APPROVAL RECORD	EVD-VZD-9249	0.96
EVI-004755	APPROVAL RECORD	EVD-VMR-5486	0.57
EVI-006059	TRANSACTION RECORD	EVD-PKH-6623	0.68

5. RECOMMENDATIONS

- Require compliance certificate verification as a system gate prior to payment release.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Jason Burns	EMP-4827	2023-04-23
Reviewing Officer	Steven Bautista	EMP-23908	2023-04-25